

Hero MotoCorp Ltd (HEROMOTOCO)

Consumer Discretionary | Two Wheelers

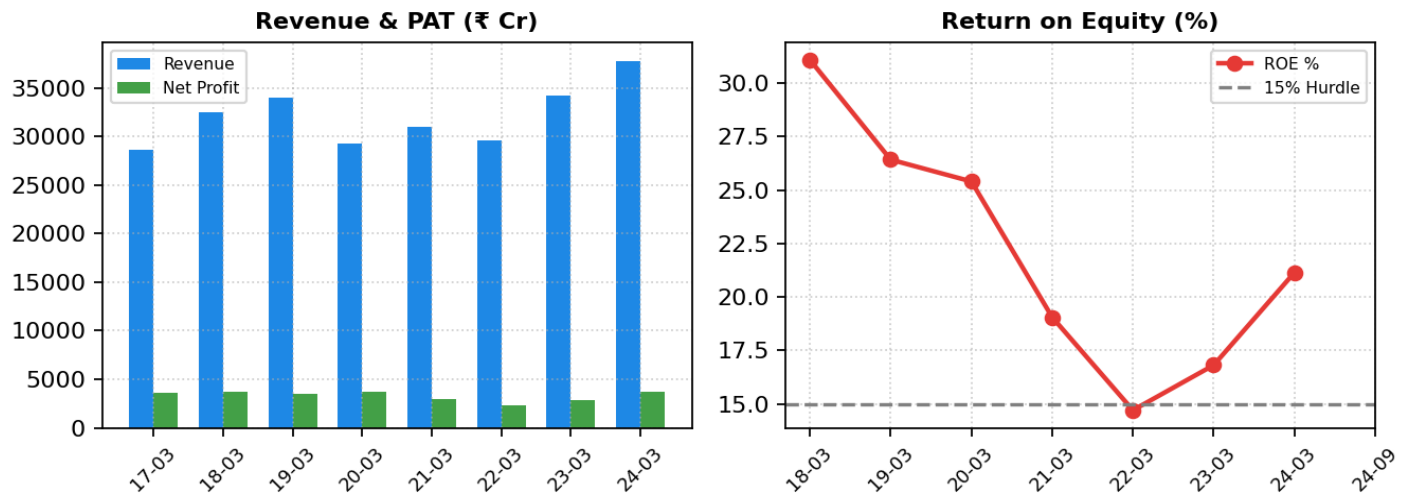
Health Score:
62.2/100

Nifty 100 Fundamental Intelligence

Business Profile: Hero Moto Corp earlier also known as \"Hero Honda\" is one of India's first motorcycle manufacturers. The company started in 1984 as a Technological collaboration with Honda, Japan. Before this collaboration, Hero was selling Cycles under the brand name, Hero Cycles.

Market Cap: ■ 1,593,401 Cr	P/E Ratio: 53.9x
Return on Equity: 21.1%	Debt / Equity: 0.03x
Free Cash Flow: ■ 3,095 Cr	5Y Rev CAGR: 2.1%

Historical Performance & Return Ratios

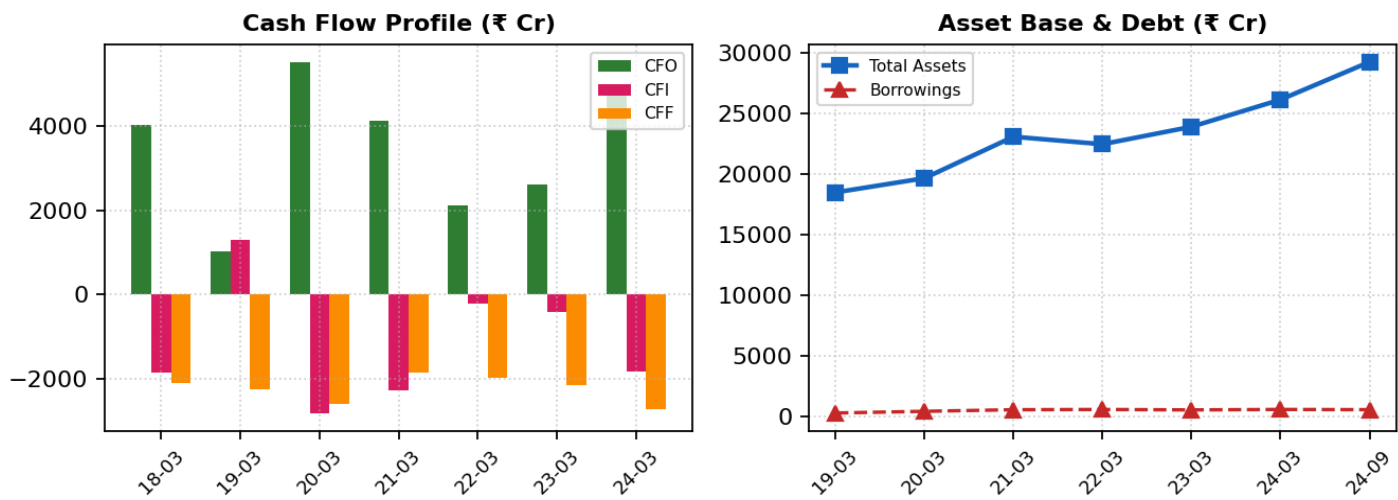


Metric	21-03	22-03	23-03	24-03
Revenue (■ Cr)	30,959	29,551	34,158	37,789
Operating Profit (■ Cr)	26,902	26,295	30,060	32,554
Net Profit (■ Cr)	2,936	2,329	2,800	3,742
EPS (■)	146.0	116.0	141.0	187.0

Financial Quality & Risk Intelligence — HEROMOTOCO

Capital Allocation Pattern: [Reinvestor & Shareholder Returns](#) | CFO-to-PAT Quality: 1.32x

Cash Flow Dynamics & Solvency



Investment Strengths (Pros)

- Strengths:** Robust Return on Equity of 21.1% indicates exceptional capital efficiency.
- Strengths:** Conservative capital structure with low D/E ratio of 0.03x.
- Strengths:** High free cash flow generation of ₹3,095 Cr.
- Strengths:** High quality earnings with CFO-to-PAT conversion ratio of 1.32x.

Key Risks & Considerations (Cons)

- Risk Factor:** Premium equity valuation multiple with P/E of 53.9x.
- Risk Factor:** Sluggish 5-year top-line growth at 2.1% CAGR.